BANK INDONESIA
BANK SENTRAL REPUBLIK INDONESIA

MONETARY POLICY REPORT

QUARTER II 2026



FOREWORD

Bank Indonesia has a mandate, namely to achieve Rupiah stability, maintain payment system stability, and to include maintaining financial system stability in order to support sustainable economic growth. Nevertheless, rupiah stability encompasses two aspects, namely price stability of goods and services, as reflected in stable inflation, as well as rupiah exchange rate stability to currencies in other countries. The inflation target was set by the Government, in coordination with Bank Indonesia, at 2.5±1% in 2026. To that end, Bank Indonesia implements sustainable, consistent, and transparent monetary policy through efforts to achieve low and stable inflation, a stable exchange rate, and an adequate level of foreign exchange reserves.

In pursuance of its mandate, Bank Indonesia institutes an optimal mix of monetary, macroprudential, and payment system policies.

Bank Indonesia regularly publishes the Monetary Policy Report after the Board of Governors Meeting has been convened in January, April, July, and October. The Review has two primary functions, namely: (i) to provide economic data, analysis and projections to help form and anchor rational expectations as part of the anticipative monetary policymaking framework; and (ii) as a medium for the Board of Governors to publicly explain and clarify the various considerations underlying monetary policy decision-making at Bank Indonesia.

The Board of Governors

PERRY WARJIYO
Governor

DESTRY DAMAYANTI
Senior Deputy Governor

AIDA S. BUDIMAN
Deputy Governor

FILIANINGSIH HENDARTA
Deputy Governor

RICKY PERDANA GOZALI
Deputy Governor

THOMAS A.M. DJIWANDONO
Deputy Governor

Table of Contents

Foreword iii

The Board of Governors iii

Table of Contents iv

Executive Summary 1

1. Global and Domestic Economic Developments 3

2. Economic Prospects 6

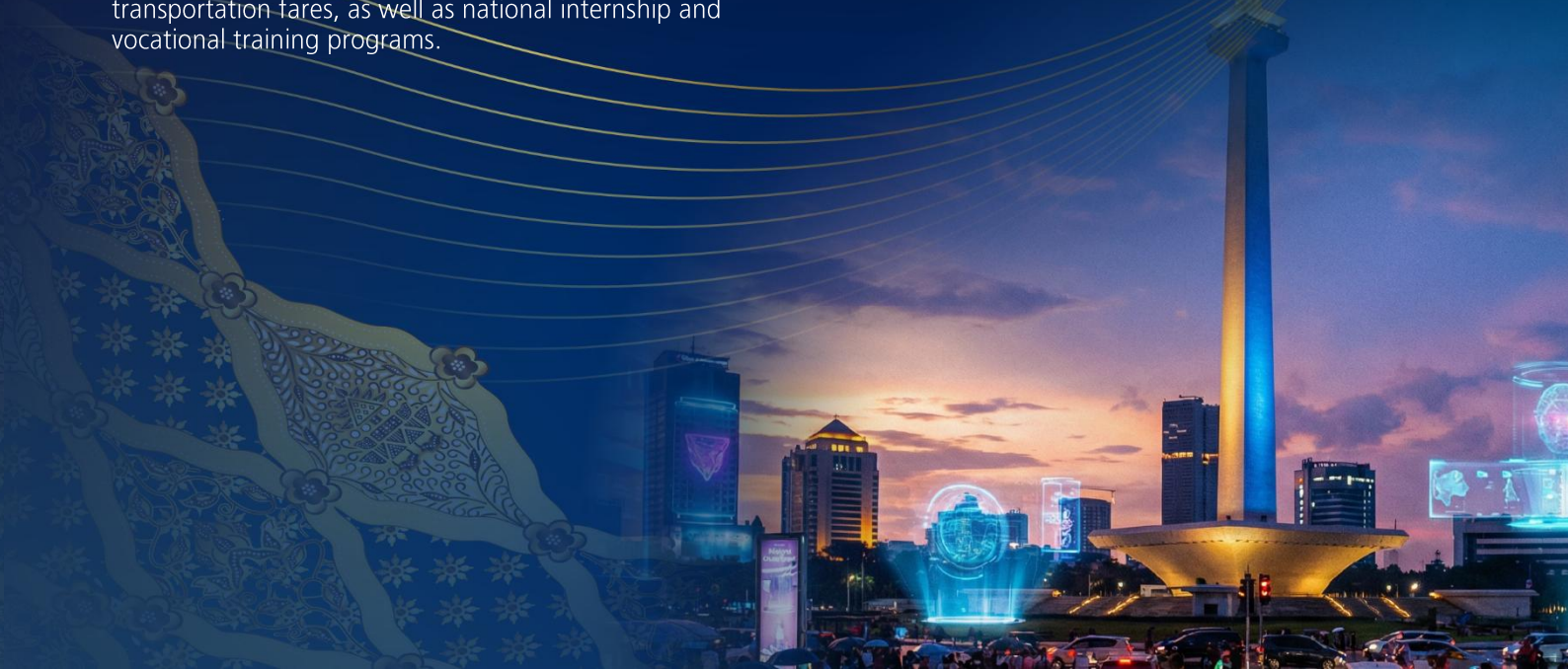
3. Bank Indonesia Policy Response 8

Executive Summary

Global uncertainty shows another rise following the re-escalation of the conflict between the United States (US) and Iran in early July 2026. Shipping through the Strait of Hormuz has again been disrupted, affecting production and international supply chains, while oil prices and various global commodity prices have reversed course and are increasing. Monetary policy globally has tightened in response to a build-up of inflationary pressures. US Treasury yields have also risen significantly, reaching 4.56% for the benchmark 10-year tenor and 4.18% for the 2-year tenor on 20th July 2026. In global financial markets, capital outflows from emerging markets (EM) have continued shifting towards US financial markets and high-yield, safe-haven assets, strengthening the US dollar against both advanced economy currencies (DXY) and emerging market currencies (ADXY). The increase in global economic and financial uncertainty demands stronger policy responses and closer fiscal-monetary policy synergy to bolster external resilience, maintain stability and support domestic economic growth.

At home, economic growth in Indonesia remains resilient, underpinned by domestic demand. The performance in the second-quarter of 2026 indicates that Government consumption grew strongly, supported by the continued implementation of priority programs and accelerated Government spending, particularly the disbursement of 13th-month salaries for civil servants and social assistance to beneficiary families. Household consumption has remained resilient, supported by various Government stimulus measures, including food assistance, discounted transportation fares, as well as national internship and vocational training programs.

Investment has primarily been supported by investment in buildings associated with the implementation of the National Priority Work Program (PKPN), while private investment must be strengthened further. By sector, growth in the Manufacturing Industry, Construction, as well as Transportation and Storage sectors remains robust in line with the implementation of Government programs. Indonesia's Balance of Payments (BOP) performance needs to be strengthened further to mitigate the spillover effects of heightened global uncertainty. Bank Indonesia continues strengthening Rupiah exchange rate stabilisation policy by optimising a broad range of policy instruments. Consumer Price Index (CPI) inflation remained within the target range set by the Government. Bank Indonesia continues strengthening policies to maintain adequate liquidity in the money market, banking industry and economy. Bank Indonesia is maintaining an accommodative macroprudential policy stance by optimising the Macroprudential Liquidity Incentive Policy (KLM) to boost bank lending/financing to priority sectors. The role of bank lending in supporting economic growth continues to increase. Banking sector resilience remains solid, thereby mitigating the impact of global uncertainty on the financial system. Digital economic and financial transactions continued to grow in the second quarter of 2026, underpinned by secure, seamless and reliable payment systems to support economic activity. Payment system stability was preserved, supported by stable infrastructure and a sound industry structure.



The prospect of the global economy remains weak with rising global inflationary pressures. Global economic growth in 2026 is projected to remain sluggish at 3.0%, while global inflation is expected to rise to around 4.5% The US monetary policy rate, the Federal Funds Rate (FFR), is expected to increase earlier, namely in the fourth quarter of 2026. US Treasury yields are projected to increase further, driven by the widening US fiscal deficit.

The prospect of domestic economy remains sound, supported by implementation of the Government's various priority programs to strengthen domestic demand as a source of economic growth. Bank Indonesia projects Indonesia's economic growth to remain within the range of 4.9–5.7% in 2026. From the external sector, Bank Indonesia projects the current account deficit to remain healthy within the range of 1.3% to 0.5% of GDP in 2026. Bank Indonesia is confident that the Rupiah will remain stable and continue its appreciating trend, supported by Bank Indonesia's firm commitment to strengthening Rupiah exchange rate stabilisation, attractive investment yields, and Indonesia's promising economic growth outlook. Inflation in 2026 and 2027 will remain within the 2.5±1% target range, supported by its monetary policy mix and enhancing synergy with both the Central and Regional Governments. Various measures to maintain adequate liquidity in the money market, banking industry and economy will continue to be strengthened thereby preserving stability and supporting economic growth. With the development of credit to June 2026, Bank Indonesia projects credit growth in 2026 to remain within the range of 8–12%.

The Board of Governors' Meeting (RDG) of Bank Indonesia, held on 21–22 July 2026, decided to hold the BI-Rate at 5.75%, the Deposit Facility rate at 4.75%, and the Lending Facility rate at 6.50%. Bank Indonesia is expanding its incentive policy and introducing several additional measures to increase foreign portfolio inflows, strengthen Rupiah exchange rate stability, accelerate money market and foreign exchange market deepening, as well as increase liquidity and reduce liquidity segmentation in the money market and banking industry. The BI-Rate decision and the accompanying policy measures are integral parts of Bank Indonesia's policy mix, which remains consistently geared towards further strengthening Rupiah exchange rate stability amid persistently elevated global uncertainty, while maintaining inflation within the Government's target range of 2.5±1% in 2026 and 2027 ("pro-stability"). Meanwhile, macroprudential policy and payment system policy remain directed towards supporting growth ("pro-growth"). Bank Indonesia continues strengthening accommodative macroprudential policy to support economic growth by increasing lending/financing to the real sector, while maintaining financial system stability. Payment system policy also remains oriented towards supporting economic activity through broader acceptance of digital payments, strengthening the payment system industry structure, as well as enhancing the reliability and resilience of payment system infrastructure.

CHAPTER 1

Global and Domestic Economic Developments

Re-escalation of the conflict between the United States (US) and Iran in early July 2026 has increased global uncertainty. Shipping through the Strait of Hormuz has again been disrupted, affecting production and international supply chains, while oil prices and various global commodity prices have reversed course and are increasing. Monetary policy globally has tightened in response to a build-up of inflationary pressures. US Treasury yields have also risen significantly, reaching 4.56% for the benchmark 10-year tenor and 4.18% for the 2-year tenor on 20th July 2026. In global financial markets, capital outflows from emerging markets (EM) have continued shifting towards US financial markets and high-yield, safe-haven assets, strengthening the US dollar against both advanced economy currencies (DXY) and emerging market currencies (ADXY). The increase in global economic and financial uncertainty demands stronger policy responses and closer fiscal-monetary policy synergy to bolster external resilience, maintain stability and support domestic economic growth.

Indonesia's economic growth remains resilient underpinned by domestic demand. The performance in the second-quarter of 2026 indicates that Government consumption grew strongly, supported by the continued implementation of priority programs and accelerated Government spending, particularly the disbursement of 13th-month salaries for civil servants and social assistance to beneficiary families. Household consumption has remained resilient, supported by various Government stimulus measures, including food assistance, discounted transportation fares, as well as national internship and vocational training programs. Investment has primarily been supported by investment in buildings associated with the implementation of the National Priority Work Program (PKPN), while private investment must be strengthened further. Externally, export performance requires continued strengthening to capitalise on rising international commodity prices amid the moderating global economic outlook.



By sector, growth in the Manufacturing Industry, Construction, as well as Transportation and Storage sectors remain robust in line with the implementation of Government programs.

Indonesia's Balance of Payments (BOP) performance needs to be strengthened further to mitigate the spillover effects of heightened global uncertainty. Indonesia's trade balance recorded a cumulative surplus of USD4.03 billion from January through May 2026, with a deficit of USD1.61 billion in May 2026. In terms of the capital and financial account, the stronger monetary policy response instituted by Bank Indonesia, in close synergy with the fiscal policy of the Government to strengthen yields on domestic financial instruments, has sustained foreign capital inflows. Foreign portfolio investment recorded net inflows of USD8.5 billion in the second quarter of 2026, driven primarily by Government Securities (SBN) and Bank Indonesia Rupiah Securities (SRBI). This trend continued into the third quarter of 2026 (as of 20th July 2026), supported primarily by Government Securities (SBN), which recorded net inflows of USD0.1 billion. Indonesia's reserve assets remained strong at USD145.6 billion at end-June 2026, equivalent to 5.5 months of imports or 5.4 months of imports and servicing Government external debt, which is well above the international adequacy standard of approximately three months of imports.

Bank Indonesia continues strengthening Rupiah exchange rate stabilisation policy by optimising a broad range of policy instruments. The Rupiah appreciated to Rp17,885 per US dollar on 21st July 2026, after experiencing temporary pressure from the end of June 2026 following the renewed escalation of the war in the Middle East and stronger market expectations of a hike in the Federal Funds Rate (FFR). Accordingly, the Rupiah remained relatively stable against the US dollar compared with its level of Rp17,880 at end-June 2026. To maintain Rupiah exchange rate stability, Bank Indonesia continues to optimise intervention in both the offshore Non-Deliverable Forward (NDF) market as well as the domestic spot and Domestic Non-Deliverable Forward (DNDF) markets. SRBI rates have been raised to attract portfolio inflows and strengthen Rupiah exchange rate stability. Non-resident holdings of SRBI increased from Rp238.09 trillion on 15th June 2026 to Rp288.65 trillion, equivalent to 27.11% of total SRBI outstanding, on 20th July 2026. In addition, Bank Indonesia continues optimising the full range of monetary instruments and provides a 10% reduction in hedging swap rates for foreign investors to further attract foreign capital inflows, while compensating for obligations currently borne by investors. Bank Indonesia has also expanded its foreign exchange monetary operation instruments to include offshore Chinese renminbi (CNH)-Rupiah spot and swap transactions in line with the broader use of Local Currency Transactions (LCT) for the settlement of trade and investment transactions.

Consumer Price Index (CPI) inflation remained within the target range set by the Government. CPI inflation in June 2026 was recorded at 3.34% (yoy), slightly higher than 3.08% (yoy) in the previous month. This was influenced by core inflation, which was well contained at 2.76% (yoy) thanks to policy consistency by Bank Indonesia to maintain inflation within the target range. Administered prices (AP) inflation increased to 3.42% (yoy) following adjustments to the prices of non-subsidised fuel and aviation fuel amid elevated global energy prices. Meanwhile, volatile food (VF) inflation was recorded at 5.58% (yoy), driven primarily by higher prices of shallots, garlic and rice, reflecting lower production in key producing regions, higher transportation costs and the end of the main harvesting season.

Bank Indonesia continues strengthening policies to maintain adequate liquidity in the money market, banking industry and economy. To that end, Bank Indonesia continues to open repurchase agreement (repo) auction windows for the banking industry across the 3, 6, 9 and 12-month tenors, while purchasing Government Securities (SBN), which in 2026 (as of 21st July 2026) totalled Rp188.68 trillion, including Rp76.62 trillion of secondary-market purchases. These measures maintained primary money (M0) growth at the high double-digit rate of 14.1% (yoy) in June 2026. By component, M0 growth in June 2026 was primarily influenced by currency in circulation, which grew by 14.0% (yoy), and commercial bank demand deposits at Bank Indonesia, which grew by 12.7% (yoy). In terms of the affecting factors, M0 growth in June 2026 was influenced by Bank Indonesia monetary operations and fiscal expansion by the Government, including the placement of Government funds in the banking industry. Accordingly, broad money (M2) grew by 10.8% (yoy) in May 2026, up from 9.2% (yoy) in the previous period. In terms of the affecting factors, M2 growth was primarily driven by disbursed loans and Net Foreign Assets (NFA).

Bank Indonesia is maintaining an accommodative macroprudential policy stance by optimising the Macroprudential Liquidity Incentive Policy (KLM) to boost bank lending/financing to priority sectors. As of the first week of July 2026, the KLM incentives received by banks amounted to Rp431.9 trillion, comprising Rp369.0 trillion allocated through the lending channel and Rp62.9 trillion through the interest rate channel. By bank group, the KLM incentives received by state-owned banks totalled Rp219.6 trillion, with Rp172.5 trillion allocated to national private commercial banks,

Rp31.7 trillion to regional development banks and Rp8.1 trillion to foreign bank branches. By sector, the incentives were disbursed to priority sectors, including agriculture, manufacturing and downstream sectors; services, including the creative economy; construction, real estate and housing; as well as the MSME, cooperatives, inclusive and sustainable sectors.

The role of bank lending in supporting economic growth continues to increase. Growth of outstanding loans disbursed by the banking industry in June 2026 was recorded at 12.67% (yoy), accelerating from 11.51% (yoy) in May 2026. By loan type, credit growth was supported by investment loans, working capital loans and consumer loans, which grew in June 2026 by 24.90% (yoy), 8.94% (yoy) and 5.75% (yoy), respectively. Undisbursed loan facilities totalling Rp2,490 trillion, equivalent to 21.52% of available credit lines, therefore the realisation must continue to be encouraged to support economic financing. On the supply side, lending appetite in the banking industry also remains strong, supported by persistently high third-party funds (TPF) growth of 10.21% (yoy). In addition, the performance of bank interest rates is expected to support credit growth, which includes publication of the assessment of prime lending rate (PLR) transparency. The 1-month term deposit rate was recorded at 4.76% in June 2026, while the lending rate stood at 8.81%.

Banking sector resilience remains solid, thereby mitigating the impact of global uncertainty on the financial system. This is indicated by persistently high capital capacity, low credit risk and ample banking industry liquidity. The Capital Adequacy Ratio (CAR) of the banking industry in May 2026 was recorded high at 23.74%, indicating strong capacity to absorb risk and support credit growth. As an aggregate, Non-Performing Loan (NPL) ratios in the banking industry remained low at 2.17% (gross) and 0.84% (net) in May 2026. Meanwhile, the Liquid Assets to Third-Party Funds (LA/TPF) ratio of the banking industry stood at 23.08% in June 2026, down from 24.74% in May 2026. The results of Bank Indonesia's stress tests indicate that banking resilience remains solid in the face of various risks, including the spillover effects from the ongoing war in the Middle East, supported by maintained corporate repayment capacity and profitability.

Digital economic and financial transactions continued to grow in the second quarter of 2026, supported by a secure, seamless and reliable payment system that underpinned economic activity. Digital payment transaction[1] volume reached 16.07 billion transactions in the second quarter of 2026, growing by 36.88% (yoy), supported by the continued expansion of digital payment acceptance. Transaction volumes through internet and mobile applications grew by 16.88% (yoy) and 31.39% (yoy), respectively, including QRIS transactions, which continued to record strong growth of 100.12% (yoy) in the second quarter of 2026. Such positive QRIS performance was supported by an increase in the number of users and merchants. From the infrastructure perspective, retail transaction volume processed through BI-FAST reached 1,529 million transactions, growing by 38.09% (yoy), with a transaction value of Rp3,777 trillion in the second quarter of 2026. Meanwhile, the volume of large-value transactions processed through BI-RTGS reached 2.63 million transactions, growing 13.03% (yoy), while the transaction value increased 12.66% (yoy) to Rp53,492 trillion in the second quarter of 2026. In terms of Rupiah currency management, Currency in Circulation (CiC) grew 14.03% (yoy) to Rp1,315 trillion in the second quarter of 2026.

Payment system stability was preserved, supported by stable infrastructure and a sound industry structure. Stable infrastructure is reflected in the smooth and reliable operation of the Bank Indonesia Payment System (SPBI) and industry payment systems, as well as adequate currency supply in sufficient quantity and quality. A sound industry structure is reflected in the strengthening interconnections among payment system participants, accompanied by the expansion of the Digital Economy and Finance (EKD) ecosystem. Moving forward, Bank Indonesia will continue strengthening the payment system industry structure, including by ensuring that the development of activities, products and/or partnerships complies with risk management requirements and is aligned with Bank Indonesia's policy direction. Bank Indonesia will also continue to ensure the security and reliability of SPBI infrastructure, both retail and wholesale, as well as industry payment system infrastructure. In addition, Bank Indonesia will continue ensuring the availability of Rupiah currency in sufficient quantity and fit-for-circulation quality throughout the territory of the Republic of Indonesia, including Frontier, Outermost and Remote (3T) areas.

[1] Digital payments include transactions through mobile applications and the internet.

CHAPTER 2

Economic Prospects

The prospect of the global economy remain weak due to the impact of the conflict in the Middle East since late February 2026. Global economic growth in 2026 is projected to remain sluggish at 3.0%, while global inflation is expected to rise to around 4.5% The US monetary policy rate, the Federal Funds Rate (FFR), is expected to increase earlier, namely in the fourth quarter of 2026. US Treasury yields are projected to increase further, driven by the widening US fiscal deficit.

The domestic economic outlook remains positive, supported by various Government and Bank Indonesia policies that continue to be strengthened. Implementation of the Government's various priority programs to strengthen domestic demand as a source of economic growth will continue to be optimised. In line with these efforts, Bank Indonesia will continue strengthening its policy mix through monetary, macroprudential and payment system policies, working in close synergy with Government policies to maintain stability, while supporting sustainable economic growth. Bank Indonesia projects Indonesia's economic growth to remain within the range of 4.9–5.7% in 2026.

Indonesia's Balance of Payments (BoP) is projected to remain healthy and continues to be strengthened to mitigate global uncertainty. Bank Indonesia projects the current account deficit to remain healthy within the range of 1.3% to 0.5% of GDP in 2026. Stronger policy synergy between the Government and Bank Indonesia will continue to bolster the external resilience of the national economy, while strengthening Rupiah exchange rate stability against a backdrop of global financial market volatility.

Bank Indonesia will continue to strengthen various policies to maintain the stability of the Rupiah exchange rate. Bank Indonesia is confident that the Rupiah will remain stable and continue its appreciating trend, supported by Bank Indonesia's firm commitment to enhancing foreign portfolio investment inflows through a range of policy measures that reinforce Rupiah stability, as well as Indonesia's favorable economic growth prospects.

CPI inflation in 2026–2027 is projected to remain within the target range set by the Government. Bank Indonesia will continue strengthening its monetary policy mix and enhancing synergy with both the Central and Regional Governments to maintain inflation within the 2.5±1% target range in 2026 and 2027. Coordination with the Government is being strengthened through the Central and Regional Inflation Control Teams (TPIP/TPID) by bolstering the implementation of the National Inflation Control Movement for Food Security (GPIPS), including measures to anticipate the weather-related risks associated with El Niño to food prices.



Bank Indonesia projects credit growth in 2026 to remain within the 8-12% range. This outlook is supported by demand-side potential, as reflected in the still sizeable undisbursed loan facilities totalling Rp2,490 trillion, equivalent to 21.52% of available credit lines, which need to be further utilised to support economic financing. On the supply side, lending appetite remained strong, supported by persistently high deposit growth. In this regard, Bank Indonesia continues to maintain adequate liquidity in the money market, banking sector, and the broader economy. Bank Indonesia will continue strengthening accommodative macroprudential policy implementation, which includes strengthening KLM policy to support money market deepening, as well as the Macroprudential Intermediation Ratio (RIM) and Bank Foreign Funding Ratio (RPLN), which banks have utilised since 1st July 2026 to increase funding flexibility and continue supporting bank lending/financing. Bank Indonesia will continue strengthening macroprudential policy and policy synergy with KSSK to help maintain financial system stability, which includes maintaining adequate liquidity and mitigating interbank liquidity segmentation, as well as encouraging higher growth of bank lending/financing.

CHAPTER 3

Bank Indonesia Policy Response

The Board of Governors' Meeting (RDG) of Bank Indonesia, held on 21–22 July 2026, decided to hold the BI-Rate at 5.75%, the Deposit Facility rate at 4.75%, and the Lending Facility rate at 6.50%. Bank Indonesia is expanding its incentive policy and introducing several additional measures to increase foreign portfolio inflows, strengthen Rupiah exchange rate stability, accelerate money market and foreign exchange market deepening, as well as increase liquidity and reduce liquidity segmentation in the money market and banking industry. The BI-Rate decision and the accompanying policy measures are integral parts of Bank Indonesia's policy mix, which remains consistently geared towards further strengthening Rupiah exchange rate stability amid persistently elevated global uncertainty, while maintaining inflation within the Government's target range of 2.5±1% in 2026 and 2027 ("pro-stability").

Meanwhile, macroprudential policy and payment system policy remain directed towards supporting growth ("pro-growth"). Bank Indonesia continues strengthening accommodative macroprudential policy to support economic growth by increasing lending/financing to the real sector, while maintaining financial system stability. Payment system policy also remains oriented towards supporting economic activity through broader acceptance of digital payments, strengthening the payment system industry structure, as well as enhancing the reliability and resilience of payment system infrastructure.

The monetary, macroprudential, and payment system policy mix aimed at strengthening stability while promoting sustainable economic growth is also supported by the following policy measures:



1. Strengthening the effectiveness of monetary policy implementation to stabilise the Rupiah exchange rate and maintain inflation within the 2.5±1% target range in 2026 and 2027 by:
   i. optimising the foreign exchange intervention strategy to strengthen Rupiah exchange rate stabilisation through Non-Deliverable Forward (NDF) transactions in offshore markets as well as spot and Domestic Non-Deliverable Forward (DNDF) transactions in the domestic market;
   ii. managing the interest rate structure in the money market in line with the BI-Rate and the interest rates of pro-market monetary operation instruments;
   iii. maintaining adequate liquidity in the money market and banking system by ensuring base money growth above 10% (double digit), consistent with monetary expansion.
2. Expanding the incentive policy to increase portfolio inflows, strengthen Rupiah exchange rate stability and accelerate money market and foreign exchange market deepening by:
   i. increasing and expanding premium reduction incentives for foreign portfolio investment, comprising: (a) an increase in the incentive for Hedge Sell Swaps (Hedge Buy Swaps with Bank Indonesia) from 10% to 12.5%; and (b) the introduction of a 15% incentive for Hedge Sell DNDF transactions;
   ii. providing incentives to promote Local Currency Transactions (LCT) with partner countries[2] to diversify foreign exchange transactions, comprising: (a) an additional 10% premium on Hedge Buy Swaps (Hedge Sell Swaps with Bank Indonesia); and (b) a 10% reduction in the premium on Hedge Sell DNDF transactions.
3. Enhancing liquidity expansion and addressing liquidity segmentation in the money market and banking system through refinements to the Macroprudential Liquidity Incentive Policy (KLM) and its integration with the acceleration of money market deepening, by:
   i. expanding the underlying assets eligible for repo transactions in conventional monetary operations and/or Bank Indonesia Sharia-Based Liquidity Facility (PASBI) by including corporate bonds and/or sukuk issued by PT Sarana Multi Infrastruktur (SMI) and PT Sarana Multigriya Finansial (SMF). These securities meet the eligibility requirements for corporate bonds and/or sukuk issued by government-established or state-owned financial institutions in line with the Money Market Deepening Blueprint (BPPU) 2030. This policy will be implemented no later than the end of September 2026;
   ii. refining the Macroprudential Liquidity Incentive Policy (KLM) to support liquidity expansion and address liquidity segmentation, while continuing to promote bank lending/financing to priority sectors, through:
      a. increasing the maximum total KLM incentive available to banks from 5.5% to 6.0% of third-party funds (TPF);
      b. adjusting the allocation of the KLM financing channel for bank lending/financing to priority sectors from a maximum of 4.5% of TPF to a maximum of 4.0% of TPF;
      c. introducing the allocation of macroprudential liquidity incentive policy for money market deepening to overcome liquidity segmentation in the money market and banking industry, while simultaneously accelerating money market deepening, of up to 2.0% of TPF for banks that maintain securities holdings at an optimal ratio determined by Bank Indonesia. This PPU KLM allocation replaces the KLM interest rate channel and financing-to-funding channel; and

[2] Bank Indonesia has implemented Local Currency Transaction (LCT) cooperation with six partner countries: Malaysia, Thailand, China, Japan, South Korea, and the United Arab Emirates.

the strengthened KLM policy will take effect from 1st September 2026.

4. Strengthening the Macroprudential Inclusive Financing Ratio (RPIM) Policy to promote bank lending/financing to inclusive and sustainable sectors while upholding the prudential principle, through the following 3 (three) modalities:
   i. expanding the scope of bank lending/financing to include suppliers, distributors and/or business partners of corporate entities to support inclusive sectors and national economic growth;
   ii. expanding interbank cooperation mechanisms for MSME lending through channelling and executing schemes;
   iii. strengthening the contract-based interbank RPIM transfer mechanism; and

   the strengthened RPIM policy will take effect from 1st October 2026.
5. Expanding payment system digitalisation to support and strengthen household purchasing power, while fostering innovation in line with sound risk management and payment system stability, through:
   i. expanding digital payment acceptance through the development of payment instruments and channels, as well as expanding QRIS Cross-Border linkages with priority partner countries;
   ii. strengthening innovation and entrepreneurship by intensifying business matching at the Indonesian Digital Innovation Centre (PIDI) Digdaya and the Hackathon program to develop national digital talent, and
   iii. strengthening the implementation of payment system industry restructuring through the development of activities, products, and/or cooperation arrangements that comply with sound risk management principles and are aligned with Bank Indonesia's policy direction.

In addition, Bank Indonesia continues strengthening policy coordination with the Government, including close synergy between monetary and fiscal policy to mitigate the impact of global uncertainty on the domestic economy, thereby maintaining economic stability and growth. Policy synergy with the Financial System Stability Committee (KSSK) is also being strengthened to help safeguard financial system stability and encourage financing for the Government's Asta Cita program. Synergy with the Government and other stakeholders to foster bank lending/financing is being pursued through the Indonesian Intermediation Acceleration Program (PINISI).

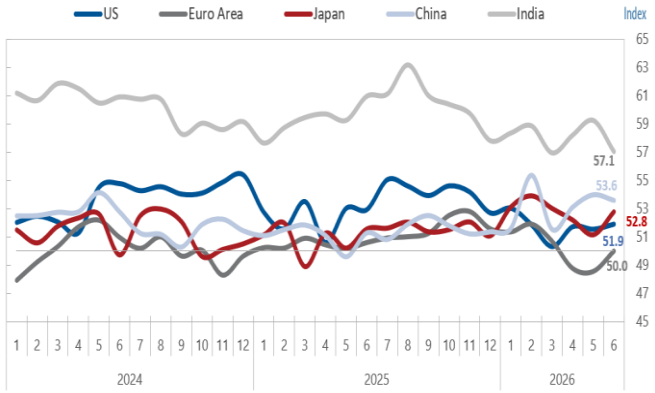
Global uncertainty shows another rise following the re-escalation of the conflict between the United States (US) and Iran in early July 2026.

Global GDP Growth

Country	2022	2023	2024	2025	2026*
World	**3.5**	**3.3**	**3.3**	**3.4**	**3.0**
Advanced economies	**2.6**	**1.7**	**1.8**	**1.9**	**1.7**
United States	1.9	2.9	2.8	2.1	2.3
Euro Area	3.4	0.4	0.9	1.4	0.7
Japan	1.0	1.5	0.1	1.2	0.7
Emerging economies	**4.1**	**4.4**	**4.3**	**4.4**	**3.9**
China	3.0	5.2	5.0	5.0	4.6
India	6.8	7.7	6.5	7.6	6.7
ASEAN-5	5.5	4.0	4.6	4.5	4.1
Latin America	4.2	2.4	2.4	2.4	2.4
Emerging Euro	1.2	3.3	3.4	2.0	2.1
Middle East & Central Asia	5.4	2.0	2.4	3.6	2.2

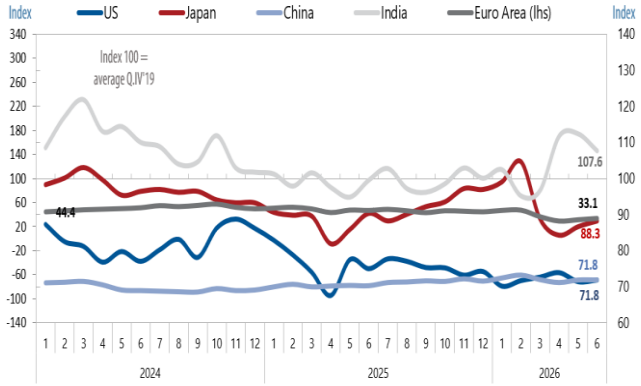
Source: IMF WEO. *Bank Indonesia Projection

Global PMI



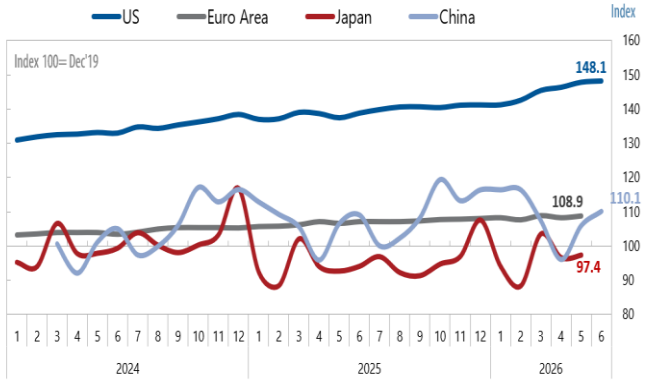
Source: IHS Markit, Bloomberg (China)

Consumer Confidence Index



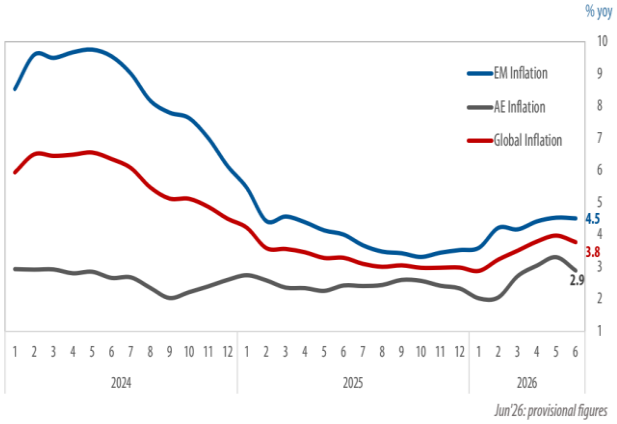
Source: Bloomberg, calculated

Retail Sales



Source: CEIC, calculated

Global Inflation



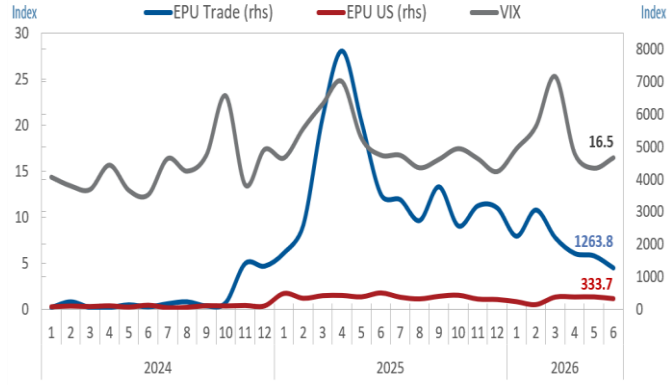
Source: Bloomberg and IMF, calculated

Indonesia's Export Commodity Prices

Commodity	2024					2025					2026			
	Q1	Q2	Q3	Q4	2024	Q1	Q2	Q3	Q4	2025	Q1	Q2	Q3*	YTD*
Copper	-4.7	16.8	11.2	12.8	8.8	10.3	-4.3	5.6	19.2	7.5	36.7	41.6	36.4	32.2
Coal	-27.7	-16.3	0.2	-11.3	-15.3	-14.4	-16.8	-20.2	-11.5	-15.7	5.2	38.1	49.8	26.5
CPO	0.5	6.2	5.2	31.3	10.5	17.1	0.3	6.9	-14.0	1.7	-10.7	11.2	5.4	1.7
Rubber	17.9	44.3	40.6	40.0	35.3	9.3	-9.2	-7.6	-14.6	-6.0	-0.3	32.9	32.0	21.2
Nickel	-35.7	-16.9	-19.9	-7.2	-21.3	-6.2	-17.7	-7.8	-7.1	-10.0	11.1	19.1	9.2	15.7
Tin	0.2	25.3	18.5	23.4	16.7	21.0	0.5	7.0	24.8	12.8	52.2	60.6	55.3	48.3
Aluminium	-8.2	12.3	10.0	16.9	7.4	17.1	-3.9	8.1	9.3	7.4	21.8	42.8	19.9	26.3
Coffee	7.1	19.9	55.9	65.7	36.4	100.7	63.9	36.9	31.0	54.1	-16.7	-24.5	-2.7	-19.9
Others	-1.0	-0.2	0.3	0.1	-0.2	-0.2	1.1	1.7	0.4	0.7	0.3	0.7	0.8	0.5
Indonesian Export Commodity Prices	**-8.2**	**1.7**	**6.1**	**8.7**	**1.5**	**2.9**	**-5.0**	**-3.5**	**-4.9**	**-2.9**	**3.4**	**20.9**	**22.2**	**13.5**
Oil (Brent)**	83	85	80	75	81	76	68	69	64	69	81	104	77	91

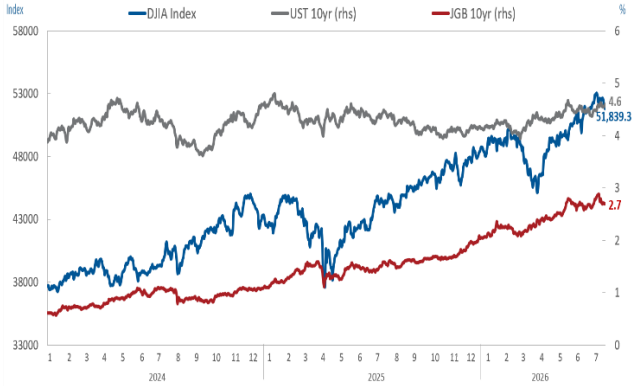
Source: Bloomberg. *Data as of July 20, 2026
**Oil in USD/Barrel, other commodities (%, yoy)

Global Uncertainty Index



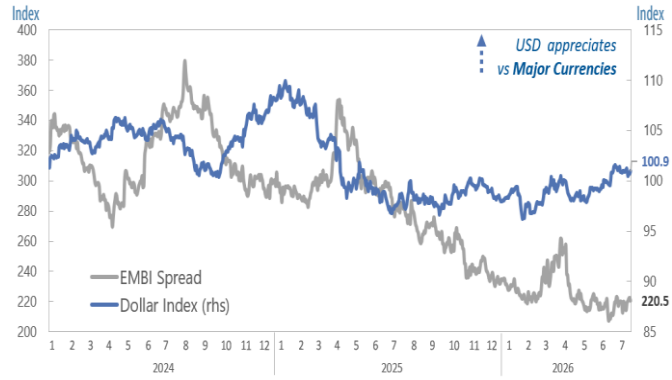
Source: Bloomberg, calculated

10 Yr UST & JGB Yield and DJIA Index



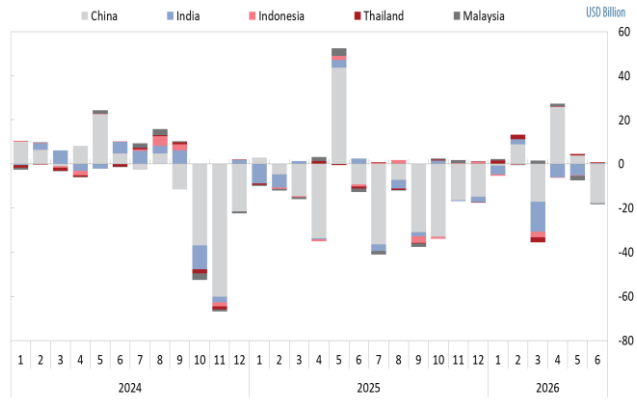
Source: Bloomberg. Data as of July 20, 2026

US Dollar Performance and Risk Perception Indicators on EM



Source: Bloomberg. Data as of July 20, 2026

Capital Flow to Emerging Market



Source: IIF

At home, economic growth in Indonesia remains resilient, underpinned by domestic demand.

Economic Growth – Expenditure Side

Components	2024				2024	2025				2025	2026
	I	II	III	IV		I	II	III	IV		I
Household Consumption	4.9	4.9	4.9	5.0	4.9	4.9	5.0	4.9	5.1	5.0	5.5
Non-Profit Institution Serving Household (NPISH) Consumption	24.1	9.8	11.5	6.1	12.5	3.1	7.8	3.8	5.9	5.1	6.3
Government Consumption	20.5	2.0	4.6	4.6	6.8	-1.2	-0.3	5.7	4.5	2.5	21.8
Investment (GFCF)	3.8	4.4	5.2	5.0	4.6	2.1	7.0	5.0	6.1	5.1	6.0
Building Investment	5.5	5.3	6.0	5.3	5.5	1.4	4.9	3.0	3.7	3.3	5.3
NonBuilding Investment	-0.8	2.0	3.0	4.4	2.2	4.3	12.9	10.3	12.4	10.1	7.8
Exports	2.0	8.9	9.7	8.4	7.3	5.9	10.1	9.1	3.3	7.0	0.9
Imports	1.9	8.1	12.6	11.3	8.5	3.6	11.1	0.9	4.0	4.8	7.2
GDP	5.1	5.0	4.9	5.0	5.0	4.9	5.1	5.0	5.4	5.1	5.6

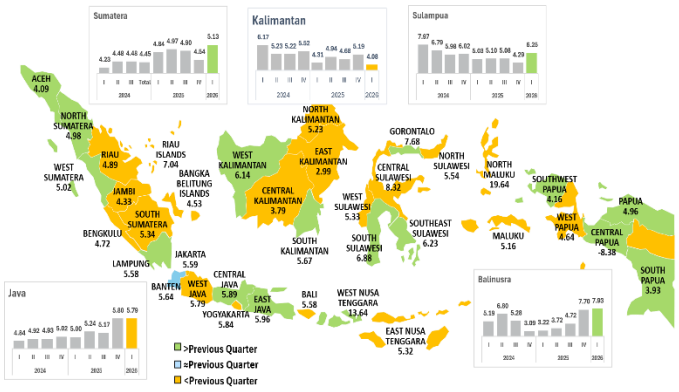
Source: BPS

Economic Growth – Economic Sectors Side

Components	2024				2024	2025				2025	2026
	I	II	III	IV		I	II	III	IV		I
Agriculture, Forestry, and Fisheries	-3.5	3.2	1.7	0.7	0.7	10.5	1.7	4.9	5.1	5.3	5.0
Mining and excavation	9.3	3.2	3.5	4.0	4.9	-1.2	2.0	-2.0	-1.3	-0.7	-2.1
Manufacture	4.1	3.9	4.7	4.9	4.4	4.5	5.7	5.5	5.4	5.3	5.0
Electricity and Gas Procurement	5.3	5.4	5.0	3.4	4.8	5.1	0.9	2.9	3.6	3.1	-1.0
Water Supply	4.4	0.8	0.0	1.1	1.6	0.2	0.8	3.3	-0.5	0.9	0.4
Construction	7.6	7.3	7.5	5.8	7.0	2.2	5.0	4.2	3.9	3.8	5.5
Wholesale Retail, Car and Motorcycle Repairs	4.6	4.9	4.8	5.2	4.9	5.0	5.4	5.5	6.1	5.5	6.3
Transportation and Warehousing	8.7	9.6	8.6	7.9	8.7	9.0	8.5	8.6	9.0	8.8	8.0
Provision of Accomodation, Food and Beverages	9.3	10.0	8.2	6.5	8.5	5.7	8.2	8.5	7.1	7.4	13.1
Information and Communication	8.4	7.7	6.8	7.5	7.6	7.7	7.9	9.6	8.1	8.3	7.1
Financial Services and Insurance	3.9	7.9	5.5	1.7	4.7	4.0	3.2	0.8	7.9	4.0	4.7
Real Estate	2.5	2.2	2.3	3.0	2.5	2.9	3.7	4.0	3.7	3.6	3.5
Corporate Services	9.6	8.0	7.9	8.1	8.4	9.3	9.3	9.9	7.9	9.1	4.9
Government Administration, Defence and Compulsory Social Security	18.9	2.9	4.0	1.2	6.4	4.8	4.7	4.3	1.6	3.9	6.5
Education Services	7.4	2.5	2.6	2.9	3.8	5.0	1.4	10.6	3.4	5.0	5.2
Health Services and Other Social Activities	11.7	8.6	7.7	5.2	8.1	5.8	3.8	6.8	5.9	5.6	7.6
Other Services	8.9	8.9	9.9	11.4	9.8	9.8	11.3	9.9	8.7	9.9	9.9
GDP	5.1	5.0	4.9	5.0	5.0	4.9	5.1	5.0	5.4	5.1	5.6

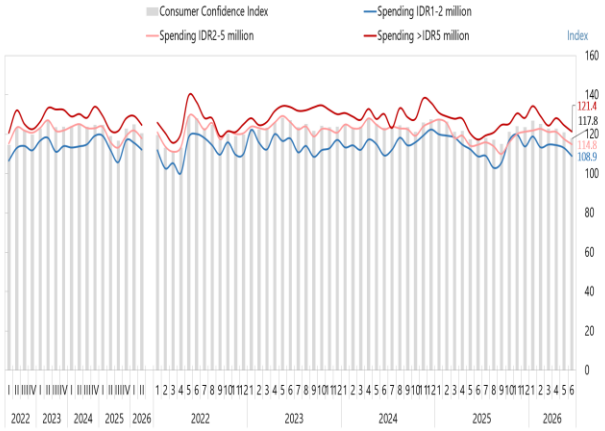
Source: BPS

Growth of Regional Economic (GRDP) of the First Quarter of 2026



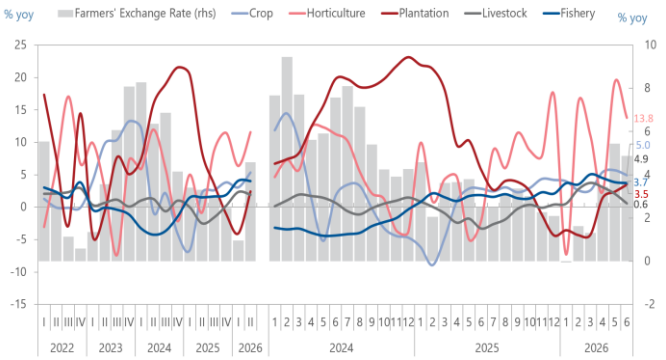
Source: BPS, calculated

Consumer Confidence Index



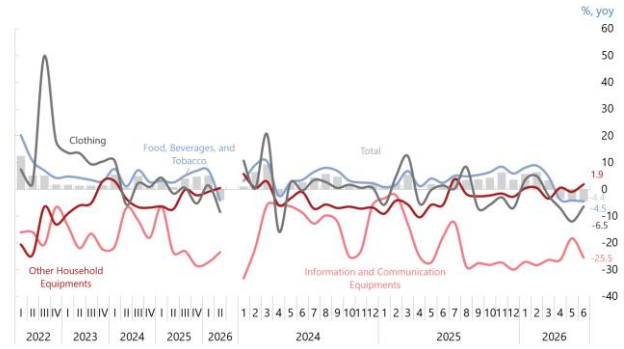
Source: Bank Indonesia

Farmers' Exchange Rate



Source: BPS, calculated

Retail Sales



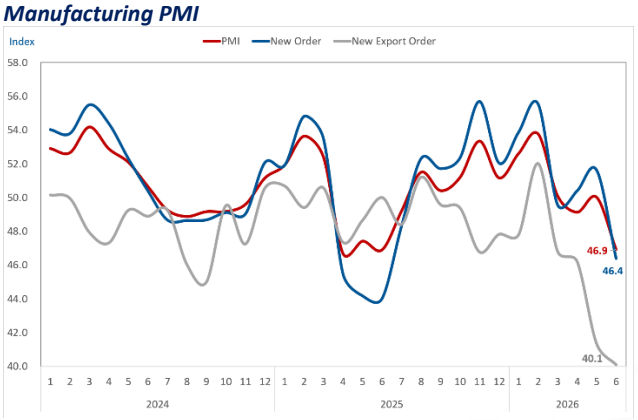
Source: Bank Indonesia

Realization of State Budget (APBN)

ITEMS	2024		2025		2026	
	Budget (IDR Trillion)	Realization as of Desember 2024 (IDR Trillion)	Budget (IDR Trillion)	Realization as of Desember 2025 (IDR Trillion)	Budget (IDR Trillion)	Realization as of June 2026 (IDR Trillion)
A. State Income and Grants	**2,463.0**	**2,842.5**	**3,005.1**	**2,756.3**	**3,153.6**	**1,459.4**
I. Domestic Income	**2,462.6**	**2,812.2**	**3,004.5**	**2,752.0**	**3,152.9**	**1,458.7**
1. Tax Income	**2,021.2**	**2,232.6**	**2,490.9**	**2,217.9**	**2,693.7**	**1,187.8**
2. NonTax Income	**441.4**	**579.5**	**513.6**	**534.1**	**459.2**	**271.0**
II. Grant	**0.4**	**30.3**	**0.6**	**4.3**	**0.7**	**0.7**
B. State Expenditures	**3,061.2**	**3,350.3**	**3,621.3**	**3,451.4**	**3,842.7**	**1,656.0**
I. Central Government Expenditures	**2,246.5**	**2,486.8**	**2,701.4**	**2,602.3**	**3,149.7**	**1,298.6**
1. Employee Spending	442.6	464.5	521.5	501.1	580.7	321.2
2. Spending for Goods	387.0	493.3	486.9	546.9	714.1	267.9
3. Capital Expenditures	199.1	328.1	234.1	427.5	279.1	109.4
4. Payment of Debt Obligations	441.4	488.4	552.9	514.4	599.4	281.6
5. Subsidies	298.5	291.9	307.9	281.6	318.9	116.0
6. Grant Expenditure	0.0	0.1	0.2	0.3	0.4	(0.0)
7. Social Assistance	148.6	153.1	140.1	186.6	167.4	78.3
8. Other Expenditures	329.3	267.3	458.0	143.9	489.8	124.2
II. Transfer to Regions and Village Funds	**814.7**	**863.5**	**919.9**	**849.0**	**693.0**	**357.4**
1. Transfer to Regions	744.7	792.6	848.9	589.9	632.4	341.3
2. Village Funds	70.0	70.9	71.0	55.0	60.6	16.1
C. Primary Balance	**(156.8)**	**(19.4)**	**(63.3)**	**(180.7)**	**(89.7)**	**85.1**
D. Budget Surplus/Deficit	**(598.2)**	**(507.8)**	**(616.2)**	**(695.1)**	**(689.1)**	**(196.5)**
Surplus/Deficit (%GDP)	**(2.8)**	**(2.3)**	**(2.5)**	**(2.9)**	**(2.7)**	**(0.8)**

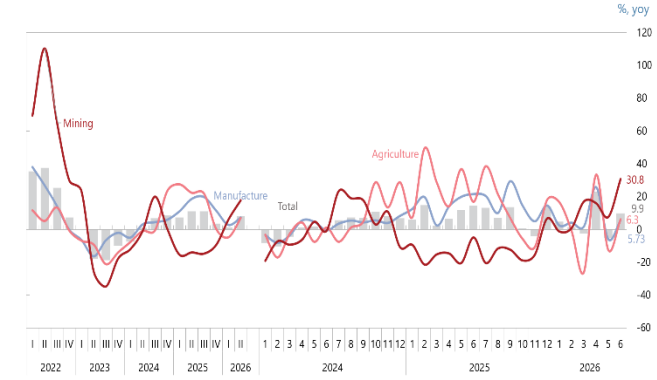
Source: Ministry of Finance

Manufacturing PMI



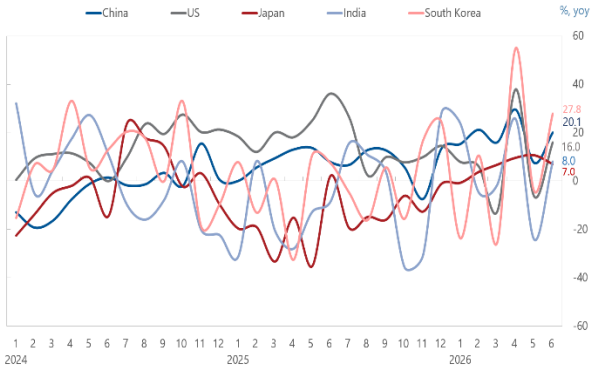
Source: Markit Economics

Non-oil and Gas Exports



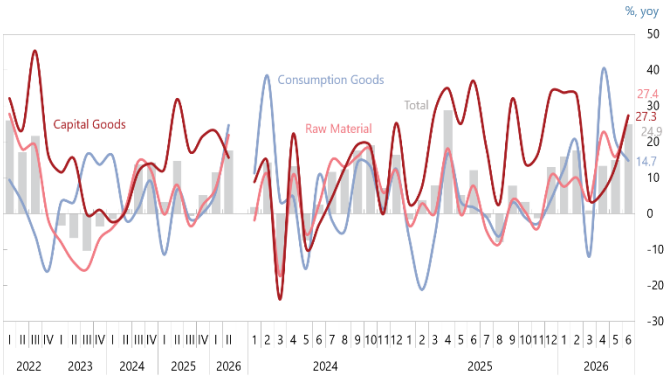
Source: Ministry of Finance, calculated by Bank Indonesia

Non-Oil and Gas Exports to Main Destination Countries



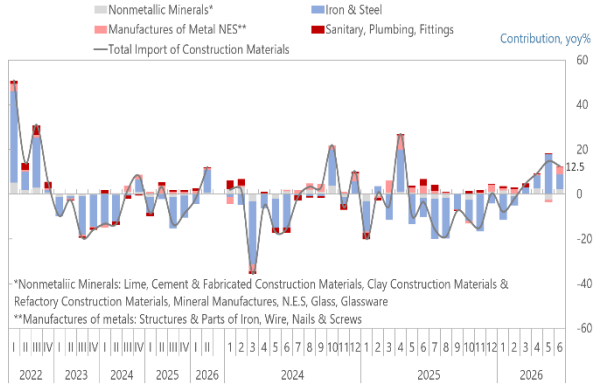
Source: Ministry of Finance, calculated by Bank Indonesia

Non-oil and Gas Imports



Source: Ministry of Finance, calculated by Bank Indonesia

Import of Construction Goods



Source: Ministry of Finance, calculated by Bank Indonesia

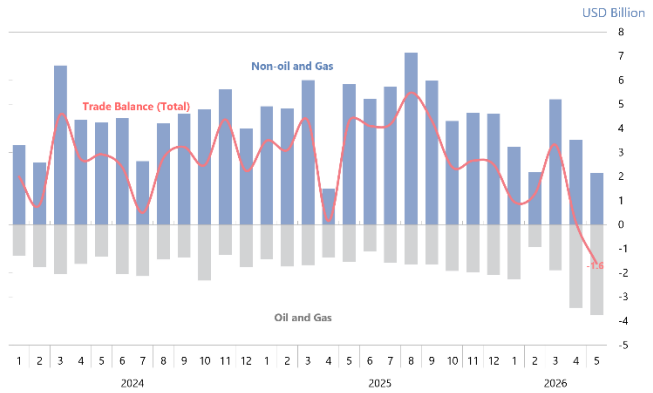
Indonesia's Balance of Payments (BOP) performance needs to be strengthened further to mitigate the spillover effects of heightened global uncertainty. Bank Indonesia continues strengthening Rupiah exchange rate stabilisation policy by optimising a broad range of policy instruments.

Indonesia's Balance of Payments

Items (Billion USD)	2022					2023					2024					2025*					2026**	
	I	II	III	IV	Total	I	II	III	IV	Total	I	II	III	IV	Total	I*	II*	III*	IV**	Total	I**	
Current Account	0.7	4.3	4.7	3.5	13.2	2.9	-2.3	-1.3	-1.4	-2.0	-2.4	-3.0	-2.0	-1.1	-8.6	-0.1	-2.9	4.0	-2.5	-1.5	-4.0
A. Goods	11.3	16.8	17.6	17.0	62.7	14.8	10.0	10.2	11.4	46.3	9.3	10.0	9.2	11.3	39.8	13.1	10.5	16.0	10.2	49.9	8.0
- Exports, fob	66.8	75.2	77.8	72.8	292.5	66.8	61.6	63.5	65.9	257.7	61.9	62.3	67.5	71.3	263.1	65.9	68.0	73.9	72.6	280.4	66.4
- Imports, fob	-55.5	-58.4	-80.2	-55.8	-229.9	-52.1	-51.6	-53.3	-54.5	-211.4	-52.6	-52.3	-58.3	-60.0	-223.3	-52.9	-57.5	-57.9	-62.3	-230.6	-58.4
a. Non-Oil and Gas	17.2	24.4	26.2	23.0	89.8	19.0	15.2	16.0	17.7	67.8	15.1	15.2	14.7	17.8	62.8	18.8	15.7	20.8	16.5	71.8	15.3
b. Oil and Gas	-5.7	-7.2	-6.5	-5.4	-24.8	-3.9	-4.7	-5.4	-5.9	-19.9	-5.5	-4.6	-4.4	-5.1	-19.6	-4.7	-4.2	-4.9	-5.7	-19.5	-5.3
B. Services	-4.3	-5.0	-5.3	-5.4	-20.0	-4.5	-4.5	-3.9	-4.8	-17.7	-4.2	-5.0	-4.2	-5.1	-18.5	-5.5	-5.3	-4.4	-5.3	-20.5	-4.6
C. Primary Income	-7.7	-9.0	-8.9	-9.6	-35.3	-8.8	-9.2	-8.8	-9.3	-36.0	-8.8	-9.5	-8.6	-9.0	-35.8	-9.3	-9.8	-9.4	-9.1	-37.6	-9.2
D. Secondary Income	1.5	1.5	1.3	1.6	5.8	1.4	1.4	1.3	1.3	5.4	1.3	1.4	1.5	1.6	5.9	1.6	1.7	1.7	1.8	6.7	1.8
Capital and Financial Account	-2.0	-1.7	-5.6	0.6	-8.7	4.0	-4.4	-0.5	10.8	9.9	-2.4	2.6	8.1	9.6	18.0	-0.3	-4.2	-8.2	9.0	-3.7	-4.9
1. Direct Investment	4.6	6.6	3.4	3.4	18.1	4.4	3.9	2.7	3.4	14.4	4.8	2.4	5.1	3.6	15.9	2.8	3.9	4.5	3.2	14.4	2.0
2. Portfolio Investment	-3.2	-3.6	-3.1	-1.7	-11.6	3.0	-2.6	-3.0	4.9	2.2	-2.1	3.1	9.8	-2.5	8.2	1.0	-8.1	-7.1	4.7	-9.4	0.7
3. Other Investment	-3.5	-4.7	-5.9	-1.5	-15.6	-3.4	-5.7	-0.2	2.4	-6.8	-5.1	-2.9	-6.9	8.4	-6.4	-4.2	-0.1	-5.6	0.9	-9.0	-7.7
Overall Balance	-1.8	2.4	-1.3	4.7	4.0	6.5	-7.4	-1.5	8.6	6.3	-6.0	-0.6	5.9	7.9	7.2	-0.8	-6.7	-6.4	6.1	-7.8	-9.1
Memorandum:																					
- Reserve Assets Position	139.1	136.4	130.8	137.2	137.2	145.2	137.5	134.9	146.4	146.4	140.4	140.2	149.9	155.7	155.7	157.1	152.6	148.7	156.5	156.5	148.2
In Months of Imports & Official Debt Repayment	7.0	6.4	5.7	5.9	5.9	6.2	6.0	6.0	6.5	6.5	6.2	6.1	6.4	6.5	6.5	6.5	6.2	6.0	6.2	6.2	5.8
- Current Account (% GDP)	0.2	1.3	1.4	1.1	1.0	0.9	-0.7	-0.4	-0.4	-0.2	-0.7	-0.9	-0.6	-0.3	-0.6	0.0	-0.8	1.1	-0.7	-0.1	-1.1

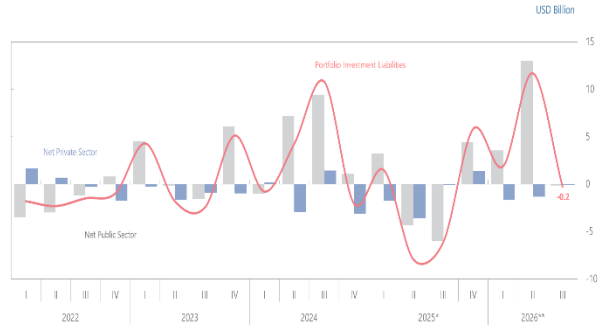
Source: Bank Indonesia. *Provisional Figures; ** Very Provisional Figures

Trade Balance



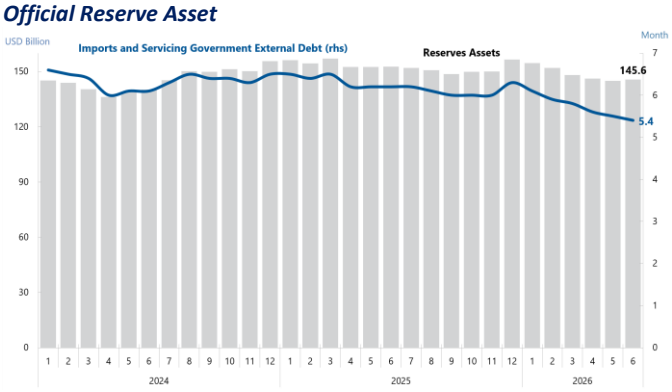
Source: BPS

Foreign Capital Flows



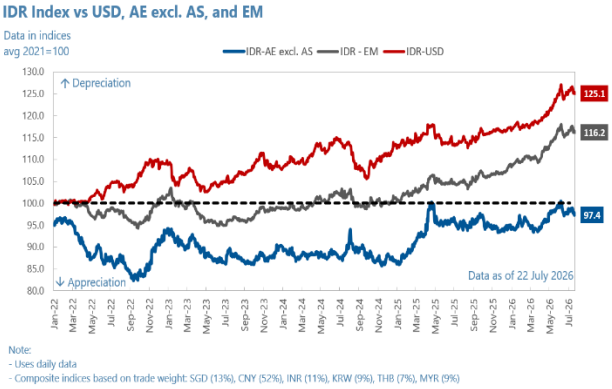
Source: Bank Indonesia. Data as of July 20, 2026
*Provisional Figures **Very Provisional Figures

Official Reserve Asset



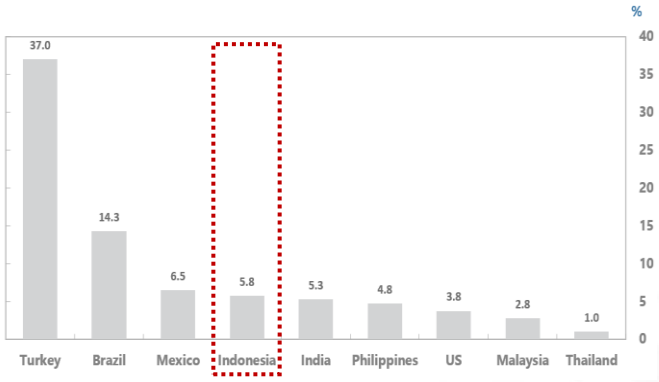
Source: Bank Indonesia

IDR Indexes Against USD, AE Excl. US and EM Currencies



Source: Bloomberg. Data as of July 22, 2026

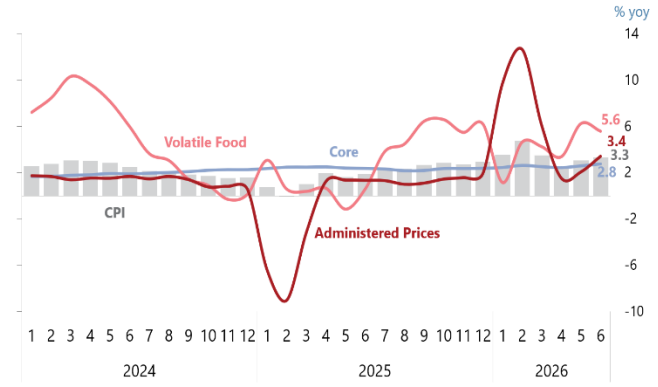
Peer Countries' Interest Rate Policies



Source: Bloomberg. Data as of July 21, 2026

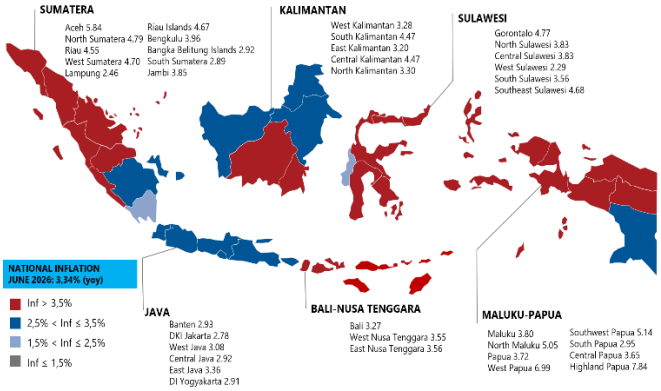
Consumer Price Index (CPI) inflation remained within the target range set by the Government.

CPI Inflation and Component



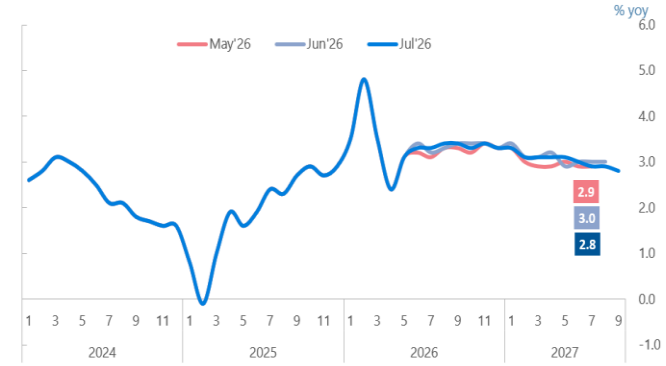
Source: BPS

Inflation Rate across Provinces



Source: BPS

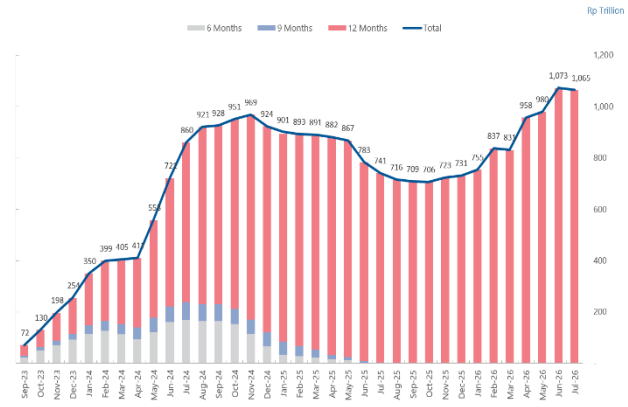
Inflation Expectation



Source: Consensus Economics

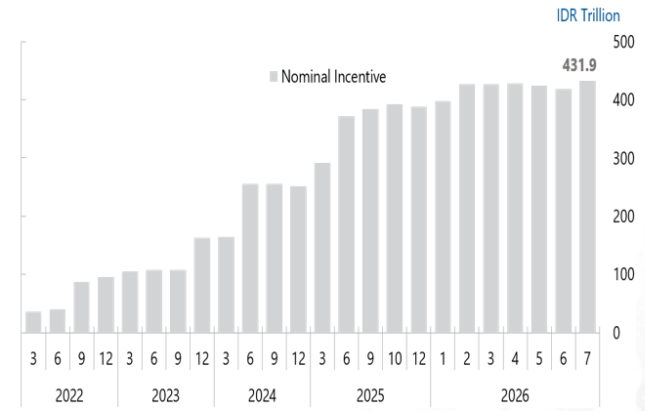
Bank Indonesia continues strengthening policies to maintain adequate liquidity in the money market, banking industry and economy. Bank Indonesia is maintaining an accommodative macroprudential policy stance by optimising the Macroprudential Liquidity Incentive Policy (KLM) to boost bank lending/financing to priority sectors.

SRBI Outstanding Position



Source: Bank Indonesia. Data as of July 21, 2026

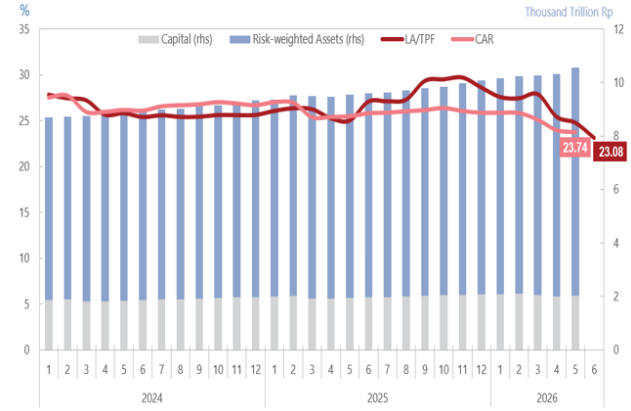
KLM Incentives Disbursement



Source: Bank Indonesia

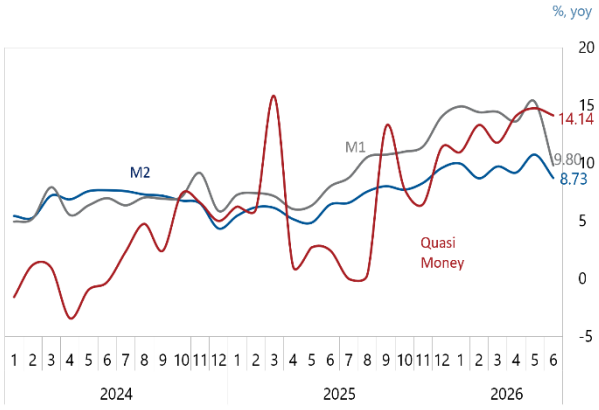
The role of bank lending in supporting economic growth continues to strengthen. Banking system resilience remained strong in mitigating the impact of global uncertainty on the financial system.

The Ratio of Liquid Assets to Deposits and Capital Banking



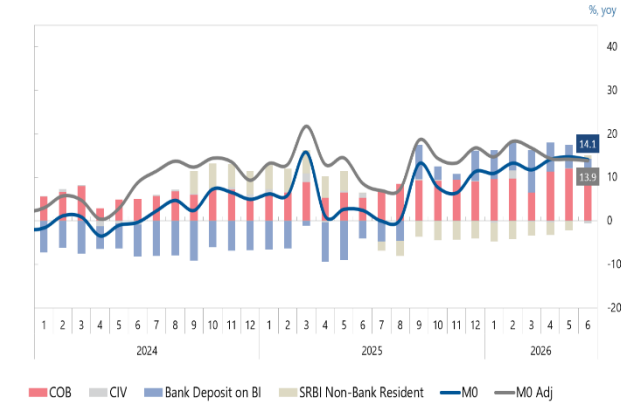
Source: Bank Indonesia

Money Supply



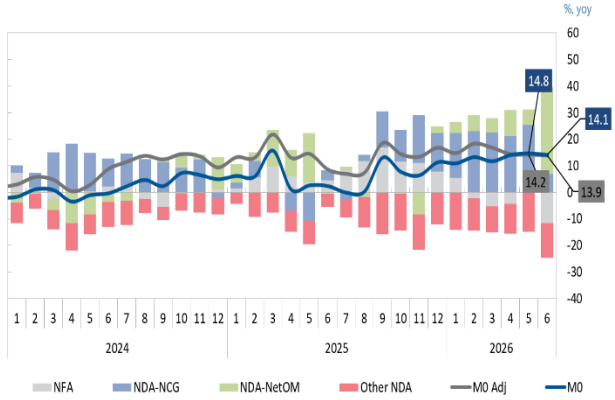
Source: Bank Indonesia

M0, M0 Adjusted, and the Component



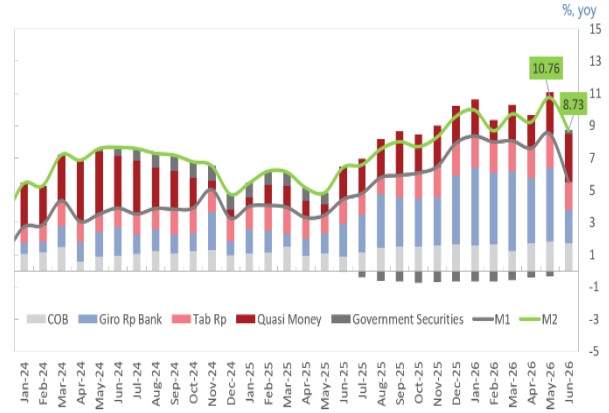
Source: Bank Indonesia

Factor Influencing M0 and M0 Adjusted



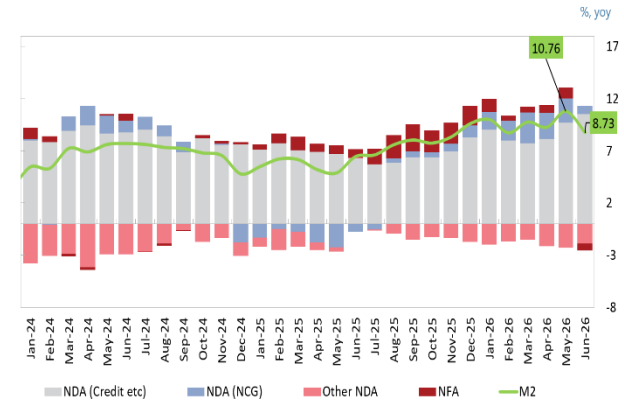
Source: Bank Indonesia

M2 and the Component



Source: Bank Indonesia

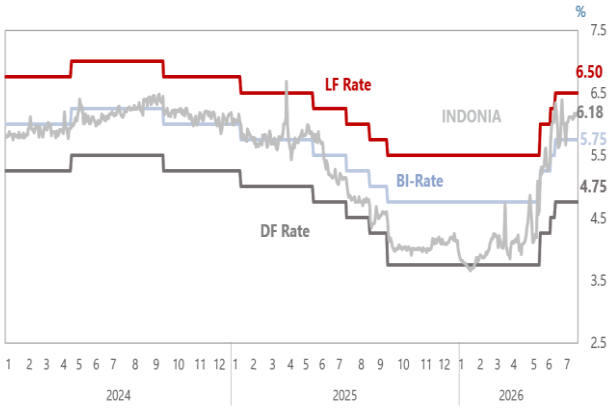
Factor Influencing M2



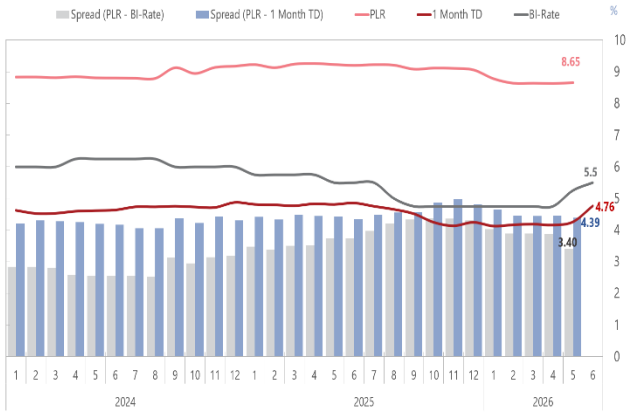
Source: Bank Indonesia

Policy Rate (BI-Rate) and Overnight Interbank Rate

BI-Rate Transmission to PLR

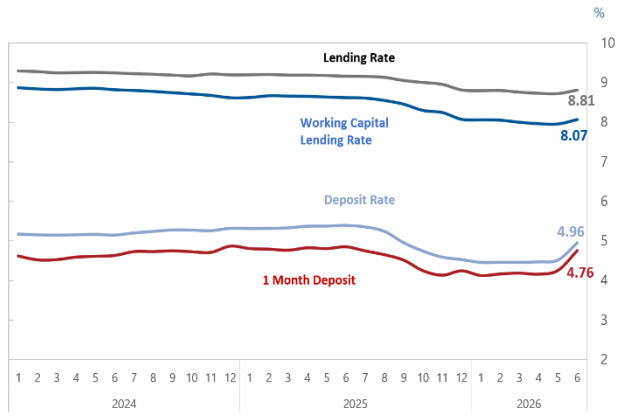


Source: Bank Indonesia



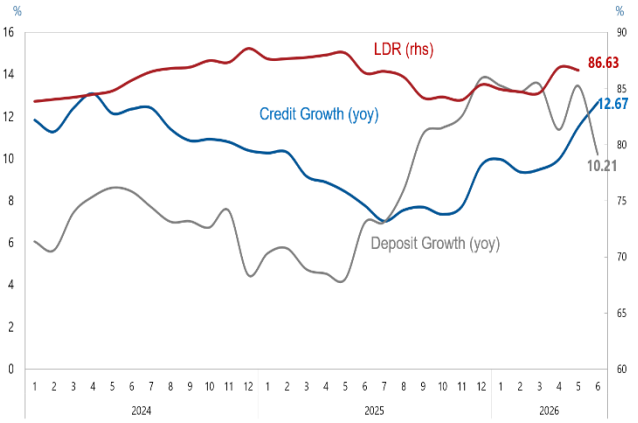
Source: OJK, Bank Indonesia, calculated

Banking Interest Rates



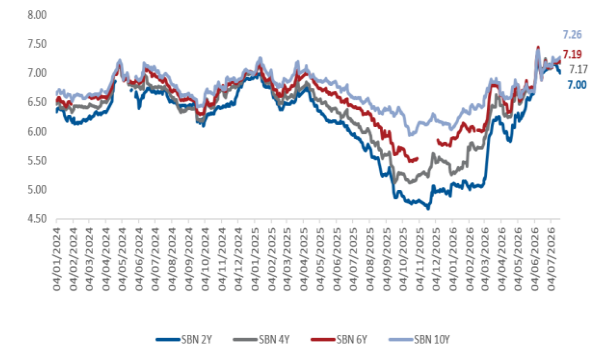
Source: Bank Indonesia

Credit and Deposit Developments



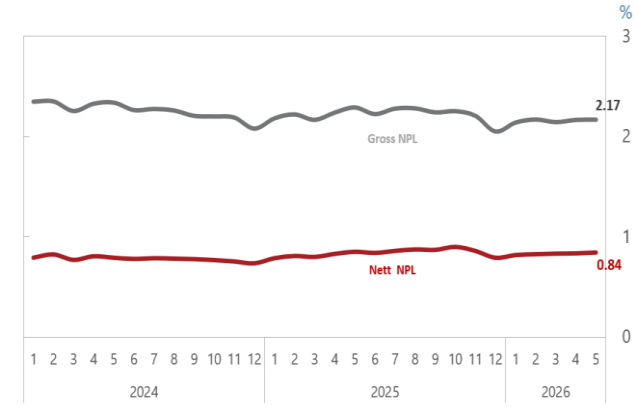
Source: Bank Indonesia

SBN Yield



Source: Bank Indonesia

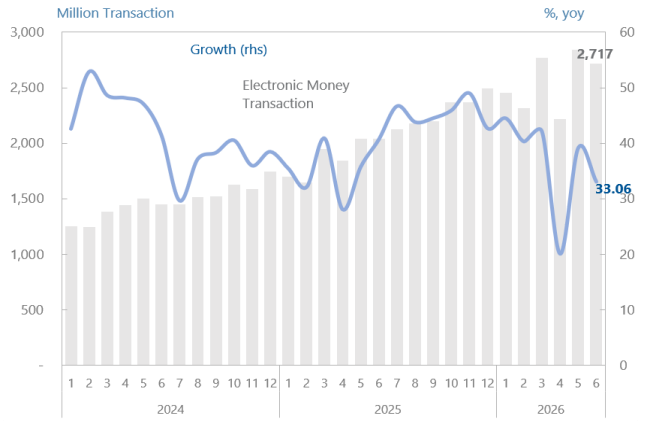
Credit Risk (NPL)



Source: Bank Indonesia, OJK

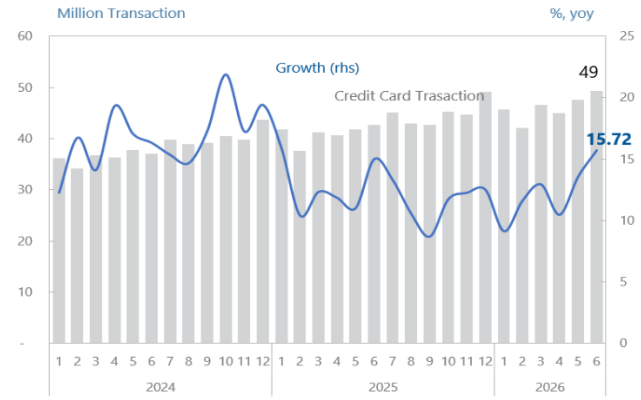
Digital economic and financial transactions continued to grow in the second quarter of 2026, supported by a secure, seamless and reliable payment system that underpinned economic activity. Payment system stability was preserved, supported by stable infrastructure and a sound industry structure.

Electronic Money Transactions Volume



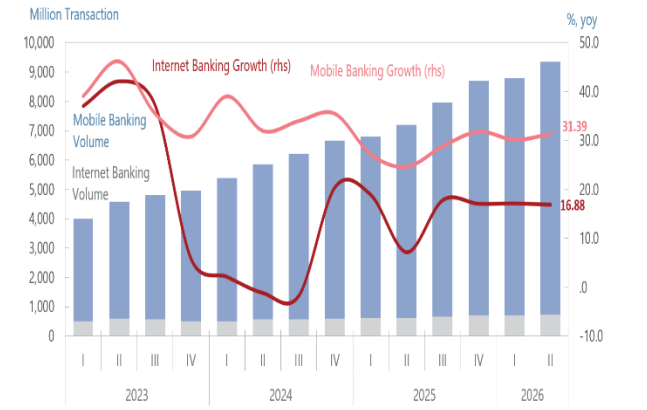
Source: Bank Indonesia

Credit Card Transactions Volume



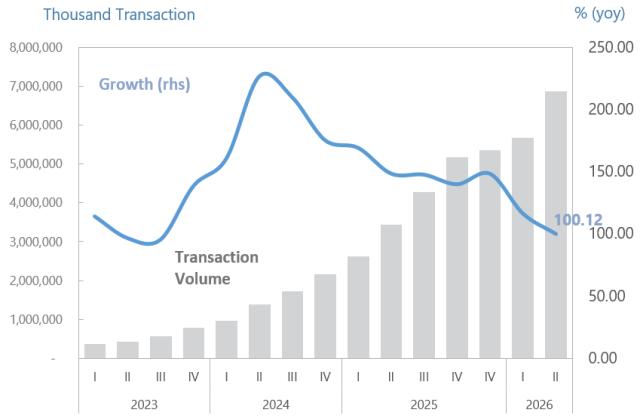
Source: Bank Indonesia

Digital Banking Transactions Volume



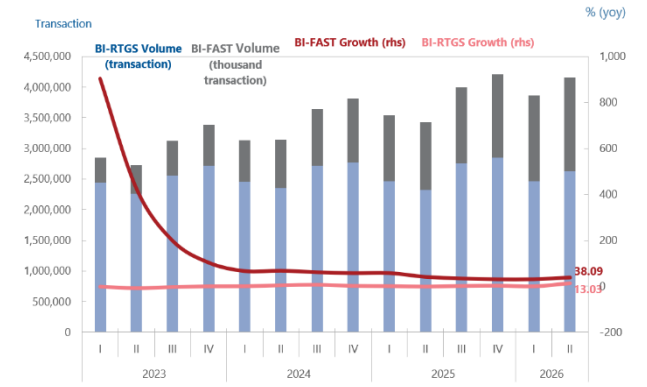
Source: Bank Indonesia

QRIS Transactions Volume



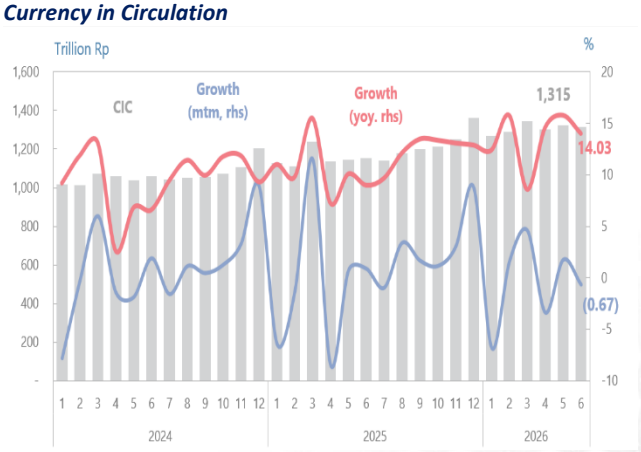
Source: Bank Indonesia

BI-FAST and BI-RTGS Transactions Volume



Source: Bank Indonesia

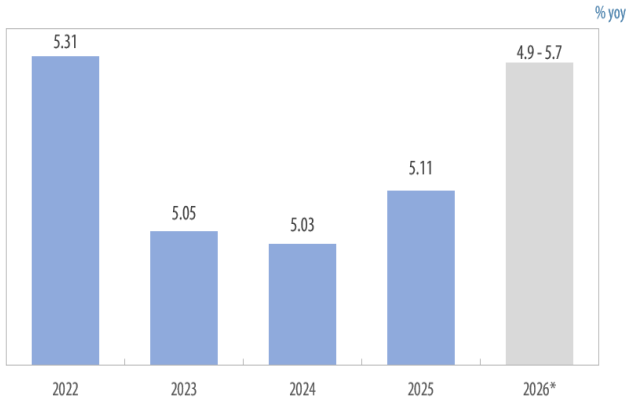
Currency in Circulation



Source: Bank Indonesia

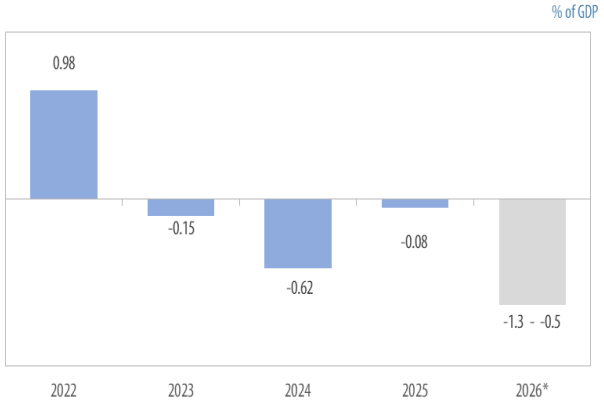
Economic growth in 2026 is projected to remain within the range of 4.9–5.7%.

Indonesia's GDP Projection



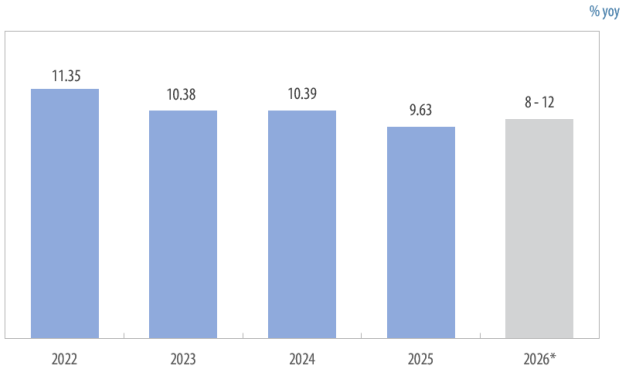
Source: Bank Indonesia. *Bank Indonesia's Projection

Current Account Deficit Projection



Source: Bank Indonesia. *Bank Indonesia's Projection

Credit Growth Projection



Source: Bank Indonesia. *Bank Indonesia's Projection

BANK INDONESIA
BANK SENTRAL REPUBLIK INDONESIA

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